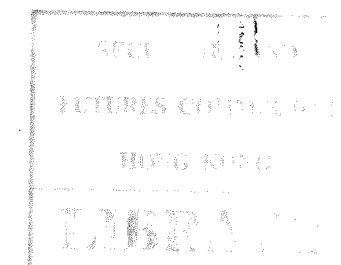


A SIMPLIFIED OUTLINE
OF THE PROPOSED
FINANCIAL RESOURCES RULES



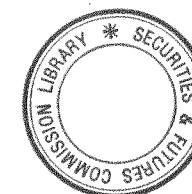
January 1992

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INTRODUCTION

The Commission has issued a Consultative Document inviting comments on draft proposals for changing the capital adequacy rules currently applicable to securities dealers under Section 65B of the Securities Ordinance. The Consultative Document also contains proposals for futures dealers and advisers.

This pamphlet provides a simplified outline of the proposals. Persons interested in more detail should examine the Consultative Document.



OBJECTIVES & NEEDS

The proposed rules have been designed with certain objectives and needs in mind.

Objectives

- . To ensure dealers should have sufficient capital to cover their risks
- . To provide relief from the existing requirements where it is due
- . To reinforce good market practice
- . To be forward looking and cover new activities and risks

Needs

- . To retain familiar ideas where possible
- . To balance appropriate risk management (complexity) and simplicity

WHAT ARE THE EXISTING RULES?

- . Securities dealers must maintain net capital and a liquidity margin in excess of \$5M (\$1M for sole proprietors) and \$0.5M (\$0.1M for sole proprietors) respectively.

- . Net capital (NC) is the excess of approved assets (AA) over ranking liabilities (RL).

$$NC = AA - RL$$

- . Liquidity margin (LM) is the excess of liquid assets (LA) over ranking liabilities (RL).

$$LM = LA - RL$$

- . Approved assets, liquid assets and ranking liabilities are defined in detail in a Notice issued by the Commission [The Securities (Specification of Approved Assets, Liquid Assets and Ranking Liabilities) Notice 1990].

- . Discounting factors ("haircuts") of between 20 and 100 per cent are applied to securities owned by the dealer ("house positions"). In addition, amounts due from third parties who settle for cash are reduced by 100 per cent after they have been outstanding for more than 5 days (the well-known "5" day rule).

WHY CHANGE EXISTING RULES?

The existing rules have significant deficiencies from a risk management point of view.

Examples are

- . They treat major international dealers and small agency dealers alike
- . They are too harsh in measuring the risks of holding "house positions"
- . They are too harsh in measuring the risk that a cash client or other broker will not pay against delivery of securities purchased
- . They do not pick up sufficiently the risks associated with undertaking large volumes of business compared with small volumes
- . They do not measure off-balance sheet risks
- . They do not give dealers credit for using hedging techniques to reduce risk

In addition, the two-tier test for capital and liquidity is duplicative, cumbersome and uses arbitrary measures

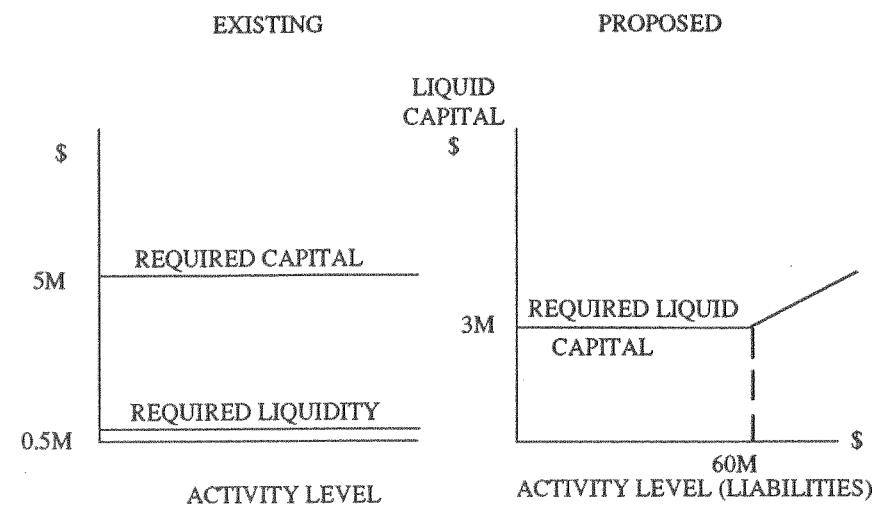
THE PROPOSALS

- . To replace the existing net capital and liquid margin tests by a single liquid capital requirement
- . To link the new liquid capital requirement with the level of business undertaken by the dealer (but only after a minimum level of activity is reached)
- . Dealers to have liquid capital in excess of
 - \$3M for corporations (\$500,000 for sole proprietors); or
 - 5% of all liabilities (for corporations and sole proprietors)
 - whichever is the greater (see Illustration I)
- . To relax significantly the existing haircuts applied to a dealer's house positions (see Illustration II)
- . To relax significantly the existing discount applied to a dealer's accounts receivable against delivery (see Illustration II)
- . To introduce requirements for off-balance sheet risks; and
- . To give dealers credit for hedging techniques where appropriate

ILLUSTRATION I

SECURITIES DEALER REQUIREMENTS

CORPORATIONS



SOLE PROPRIETORS

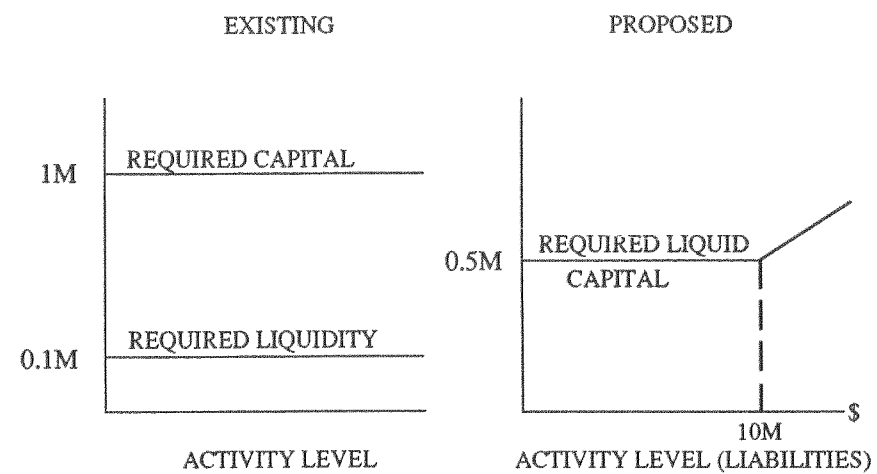


ILLUSTRATION II

COMPONENTS OF LIQUID CAPITAL

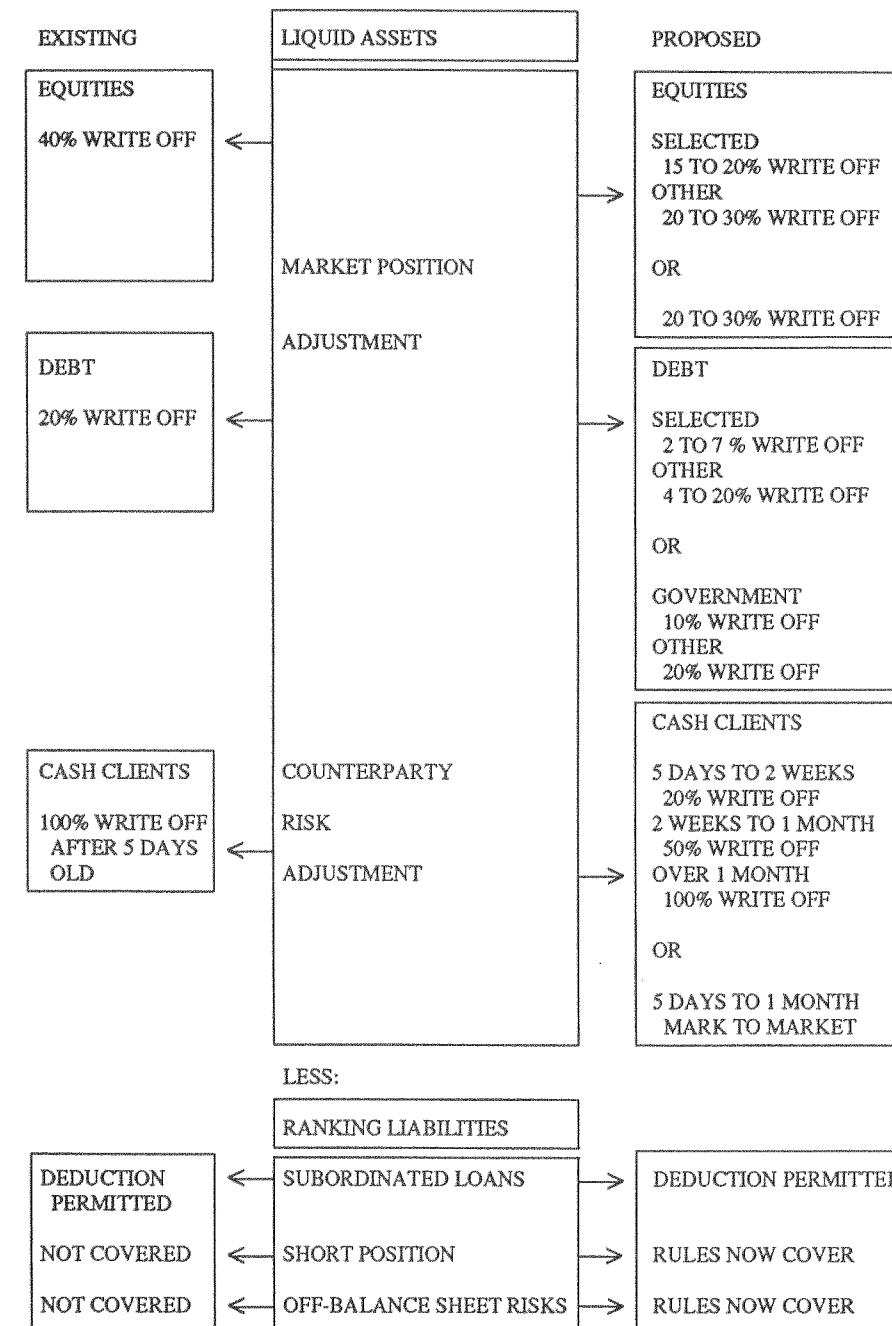


ILLUSTRATION III

COMPARISON OF CURRENT NET CAPITAL AND PROPOSED LIQUID CAPITAL (typical local broker) in HK\$'000

		Existing Net Cap Note Balance (#)	Proposed Liquid Cap Balance (*)
Equities, debt instruments and other securities	(a)	823	1,027
Amount receivables from brokers	(b)	1,800	2,650
Amount receivables from cash clients	(b)	2,400	2,830
Amount receivables from margin clients	(c)	5,230	5,214
Other receivables and income accruals		8	8
Cash and bank balances		2,907	2,877
Other assets		226	71
TOTAL APPROVED ASSETS/LIQUID ASSETS		13,394	14,677
Accruals, accounts payable, bank loans and overdrafts	(d)	7,446	7,484
Off-balance sheet risk adjustments	(e)		4
TOTAL RANKING LIABILITIES		7,446	7,488
NET CAPITAL/ACTUAL LIQUID CAPITAL		5,948	7,189
REQUIRED NET CAPITAL/LIQUID CAPITAL		5,000	3,000
EXCESS/DEFICIENCY IN NET CAPITAL/LIQUID CAPITAL		948	4,189

(*) All figures in Proposed Liquid Capital Balance column are extracted from example in Part B of Appendix 4 of the Consultative Document.

(#) All figures in Existing Net Capital Balance column are calculated using the example in Part B of Appendix 4 of the Consultative Document.

COMPARISON OF CURRENT NET CAPITAL AND PROPOSED LIQUID CAPITAL (cont'd)

Notes on comparison

- The proposed rules marks a relaxation of the existing harsh basis of calculating house securities positions. In this example where the dealer holds investments mainly in equities listed in Hong Kong, there is an increase in liquid assets resulting from the reduction in the haircut from 40% to 25%.
- Receivables from brokers and cash clients which are included in liquid assets show a significant increase in the proposed rules. This is because of the more relaxed ageing reduction scale for such receivables.
- It is proposed to accept receivables from margin clients up to the discounted value of the underlying collateral. This will provide a reasonable cushion for the position cum counterparty risks exposed by the dealer.
- In the proposed rules, counterparty risks relating to accounts payable have been recognised in the same way as for accounts receivable.
- The proposed rules recognise off balance sheet exposures which are not properly recognised in the current rules.

TESTING THE PROPOSALS

The proposals were tested using the latest balance sheets of securities dealers. On this basis it was found that:

- Over 97% of sole proprietors would comply with the proposed requirements and would not have to inject additional capital at their existing level of business (299 out of 308 in number).
- 8 of the 9 who would not have complied with the proposed requirements were having difficulty in complying with the current requirements.
- 15 per cent of securities dealers would trigger the 5 per cent requirement. Of these, 80 per cent would comply with the proposed requirements.

HOT LINE SERVICE

If you have any queries regarding the proposals
we would be happy to discuss them with you

Please phone

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Yvonne Mok at 8427638

Colin Shaftesley at 8427688 or

Carson AuYeung at 8427695